Parvathipuram in the mid-1970s, the Naxalite influence in Srikakulam was tapering off; they had moved on into neighbouring Chhattisgarh.

The tribal people had historically suffered ruthless exploitation by the non-tribals—the ‘plains people’, as they were called—which pushed them into debt and even bondage. The ground-level administration was seen as not only being indifferent to but even complicit in this exploitation. It was this alienation of the tribal households which made them vulnerable to the Naxalite doctrine of begetting social justice though violence. Our priority in the district administration, therefore, was clear—improve the livelihoods of tribal households so as to wean them away from extremist influence.

Tribal livelihood typically depended on *podu* (shifting cultivation on hill slopes) which consisted of spraying the seed after the first rains and returning to the field thereafter only to collect what grew without tending to the crop in between. Between sowing and harvesting, they were engaged in collecting minor forest produce and selling it in the ‘plains area’ village markets. Not only was the income from these activities scanty, but it was also seasonal. To smooth their incomes, tribal households typically borrowed from the moneylenders in the plains, and since default was quite common, they lost what land or animals they had to the moneylender and then ended up being bonded labour.

One of our tribal welfare tasks, therefore, was to reduce their dependence on moneylenders by designing and implementing income-generating schemes supported by bank credit. It was quite common for me as subcollector to visit banks to canvass loans for these tribal welfare schemes. Banks, however, used to be quite wary of lending to the tribals for fear of default. They would come up with one excuse after another, and when their imagination ran out, they would invoke their *brahmastra*—they can’t give more loans because of ‘RBI restriction’.[1] I remember one MLA who, while campaigning for re-election, had gone to the extent of saying that if the government was really interested in tribal welfare, the first thing they should do was to abolish the Reserve Bank!

This is just one example, perhaps an extreme one, of the common misperception about the Reserve Bank. As I moved on in my civil service